

26SMCV00450 26SMCV00450

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-08-18

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SM%20%2CP%2C08%2F18%2F2026

Source SHA-256: 3585f03d539d04aeea339813c8711b7c4056f60c1d8d41b9042111c451579bbd

Case Number: 26SMCV00450 Hearing Date: August 18, 2026 Dept: P

Tentative Ruling

The Semler Companies/Malibu v. Gurfinkel, et al., Case No. 26SMCV00450

Hearing date August 18, 2026

Defendant Valley Forge Insurance Company's Motion for Stay of Proceedings

Background

On January 27, 2026, Plaintiff The Semler Companies/Malibu d/b/a Saddlerock Ranch ("Plaintiff") commenced this action. On February 9, 2026, Plaintiff filed the operative First Amended Complaint ("FAC") against Defendants Simon Gurfinkel d/b/a Simon Gurfinkel Insurance ("SGI"); Builders & Tradesmen's Insurance Services, Inc. ("BTI"); Valley Forge Insurance Company ("VFI"); and DOES 1 to 100 (collectively, "Defendants"), alleging causes of action for: (1) Negligence; (2) Negligent Misrepresentation; (3) Breach of Contract – Failure to Defend; (4) Breach of Contract – Failure to Indemnify; (5) Breach of Implied Covenant of Good Faith and Fair Dealing – Failure to Defend; (6) Breach of Implied Covenant of Good Faith and Fair Dealing – Failure to Indemnify; (7) Declaratory Relief; and (8) Reformation.

On April 3, 2026, VFI filed the instant Motion for Stay of Proceedings. On August 5, 2026, Plaintiff filed an Opposition. On August 11, 2026, VFI filed a Reply.

Request

for Judicial Notice

“ ‘Judicial notice is the recognition and acceptance by the court, for use by the trier of fact or by the court, of the existence of a matter of law or fact that is relevant to an issue in the action without requiring formal proof of the matter.’ ” (Herrera v. Deutsche Bank National Trust Co. (2011) 196 Cal.App.4th 1366, 1374.) “Matters that are subject to judicial notice are listed in Evidence Code sections 451 and 452. A matter ordinarily is subject to judicial notice only if the matter is reasonably beyond dispute. [Citation.]” (Id.)

VFI requests judicial notice of the following documents: (1) the Complaint and corresponding exhibits in The Semler Companies/Malibu dba Saddlerock Ranch v. Valley Forger Insurance Company, et al., United States District Court for the Central District of California, Case No. 2:25-cv-03808-HDV-RAO (“Federal Action”) – Ex. A; and (2) VFI’s Opposition to Plaintiff’s Motion to Dismiss, filed on 3/19/26 in the Federal Action – Ex. B.

Plaintiff requests judicial notice of the following documents: (1) Order Granting Plaintiff’s Motion to Dismiss, filed on 4/28/26 in the Federal Action – Ex. 1; (2) Plaintiff’s Second Amended Cross-Complaint filed on 10/24/24 in *Simin Korei, et al. v. Orbic Air, LLC, et al.* in Case No. 22SMCV01974 (“Korei Action”) – Ex. 2; and (3) Butterfly Floral & Event Design, Inc.’s Responses to Plaintiff’s Request for Admissions (Set Two) served on 4/15/26 in the Korei Action – Ex. 3.

“A court may judicially notice the ‘[r]ecords of ... any court of this state’. [Citation].” (*Aixtron, Inc. v. Veeco Instruments Inc.* (2020) 52 Cal.App.5th 360, 382, disapproved of by *Vo v. Technology Credit Union* (2025) 108 Cal.App.5th 632 on other grounds.) “We may take judicial notice of the existence of judicial opinions and court documents, along with the truth of the results reached—in documents such as orders, statements of decision, and judgments—but cannot take judicial notice of the truth of hearsay statements in decisions or court files, including pleadings, affidavits, testimony, or statements of fact.” (Id.)

The requests for judicial notice are GRANTED (except as to the truth of the matters asserted) pursuant to Evidence Code Section 452, subdivision (d).

Legal Standard

“When a

court upon motion of a party or its own motion finds that in the interest of substantial justice an action should be heard in a forum outside this state, the court shall stay or dismiss the action in whole or in part on any conditions that may be just.” (Code Civ. Proc., § 410.30, subd. (a).)

Similarly, “[a] defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow, may serve and file a notice of motion for one or more of the following purposes:

(2) To stay or dismiss the action on the ground of inconvenient forum.” (Code Civ. Proc., § 418.10, subd. (a)(2).) These statutes apply even where the party seeks to stay a California state court action pending resolution of a federal court action in California. (See generally, *Korman v.*

Princess Cruise Lines, Ltd. (2019) 32 Cal.App.5th 206, 214.)

Analysis

VFI moves for an order staying this present action pending the resolution of the Federal Action on the grounds that this present action is duplicative of the Federal Action because it is predicated on the identical facts, policy language, and coverage issues. (Mot. at 3:3-16.) However, VFI was dismissed from the Federal Action on April 28, 2026. (Plf. RJN, Ex. 1.) Therefore, VFI’s request is rendered moot.

Alternatively, VFI requests that this matter be stayed pending the resolution of the Korei Action on the grounds that the underlying issue to be resolved in both actions is whether VFI’s insured Butterfly Floral and Event Design, Inc. (“BFE”) had an agreement to name Plaintiff as an additional insured on its policy and/or to indemnify Plaintiff against the Korei Action. (Mot. at 3:21-27, 9:25-10:6.) In opposition, Plaintiff argues that the only overlapping issue raised in the Korei Action is the amount owed under the policy to indemnify Plaintiff, which can be decided upon conclusion of the Korei Action. (Opp. at 1:14-19.) In contrast, Plaintiff asserts that the Korei Action is a wrongful death lawsuit, which mainly focuses on how the accident occurred; whether Plaintiff, BFE, the helicopter operators, or another party was negligent; whether any negligence caused the injuries; and the amount of recoverable damages. (Id. at 1:10-13.)

For the following reasons below, the Court finds that staying the present lawsuit pending resolution of the Korei Action is warranted.

Under California law, courts have held that “[t]o eliminate the risk of inconsistent factual determinations that could prejudice the insured, a stay of the declaratory relief action pending resolution of the third party suit is appropriate when the coverage question turns on facts to be litigated in the underlying action.” (Montrose Chemical Corp. v. Superior Court (1993) 6 Cal.4th 287, 301 (Montrose I); Montrose Chemical Corp. v. Superior Court (Canadian Universal Ins. Co.) (1994) 25 Cal.App.4th 902, 907 (Montrose II).) “By contrast, when the coverage question is logically unrelated to the issues of consequence in the underlying case, the declaratory relief action may properly proceed to judgment.” (Id. at 302.)

An insured is prejudiced by concurrent litigation of the declaratory and third party actions where: “(1) the insurer will ‘join forces with the plaintiffs in the underlying actions as a means to defeat coverage’; (2) the insured will be ‘compelled to fight a two-front war, doing battle with the plaintiffs in the third party litigation while at the same time devoting its money and its human resources to litigating coverage issues with its carriers’; and (3) ‘the insured may be collaterally estopped from relitigating any adverse factual findings in the third party action, notwithstanding that any fact found in the insured’s favor could not be used to its advantage.’ ” (United Enterprises, Inc. v. Superior Court (2010) 183 Cal.App.4th 1004, 1012.) “A stay is required in the first and third type of prejudice involving factual overlap.” (Id.)

Here, the Second Amended Cross-Complaint (“SACC”) in the Korei Action, alleges, inter alia, that VFI agreed to furnish insurance for the wedding that took place on Saddlerock Ranch. (Plf. RJN, Ex. 2 – SACC, ¶14.) BFE provided Plaintiff with a Certificate of Insurance, which named Plaintiff as an additional insured. (Id., ¶17.) BFE negligently failed to provide Plaintiff with a valid a Certificate of Insurance. (Id., ¶143.) BFE failed to verify the validity of the Certificate of Insurance naming Plaintiff as an additional insurance. (Id., ¶144.)

In comparison, the FAC in this instant case, alleges that VFI, pursuant to the terms and conditions of the Valley Forge Policy and

applicable additional insured coverage, agreed to investigate, adjust, and defend suits seeking damages because of “bodily injury” and/or “property damage” caused by an “occurrence,” falling within or potentially falling within the coverage of the Policy. (FAC, ¶¶100, 102-103, 112, 120, 129.) Plaintiff was represented to be, and is entitled to be treated as, an additional insured under the Valley Forge Policy in connection with BFE’s operations at the wedding event. (Id., ¶¶101, 137-138.) Plaintiff duly tendered the defense of the Korei Action to VFI but VFI refused and continues to refuse to defend Plaintiff in the Korei Action. (Id., ¶¶104, 107-108, 113-114, 121, 131.) VFI did not reasonably or diligently investigate the claims asserted in the Korei Action against Plaintiff. (Id., ¶107.) An actual controversy has arisen and now exists between Plaintiff and VFI regarding their respective rights, duties, and obligations under the Valley Forge Policy, including VFI’s duties to defend and indemnify Plaintiff in connection with the Korei Action. (Id., ¶136.)

Based off the allegations in the SACC and FAC, VFI and its insured are being compelled to fight a two-front war, i.e., issues of liability by Plaintiff in the Korei Action and litigate coverage issues with Plaintiff in this action. As shown above, the SACC seeks to hold BFE, which is VFI’s insured, liable for negligence in failing to allegedly verify and obtain a valid Certificate of Insurance naming Plaintiff as an additional insured. Additionally, the FAC seeks to declaration that Plaintiff was VFI’s additional insured and was wrongfully refused defense and entitled to indemnification. As such, the liability issues in the Korei Action per the SACC and the coverage issues in this instant case overlap such that the factual findings on the SACC in the Korei Action could potentially conflict with the factual findings on the FAC in this instant lawsuit. Likewise, VFI could not relitigate any adverse factual findings in the Korei Action due to collateral estoppel.

Conclusion

Based on the foregoing, Defendant Valley Forge Insurance Company’s Motion for Stay of Proceedings is GRANTED. This matter is stayed pending the resolution of the Los Angeles Superior Court Case No. 22SMCV01974, entitled Simin Korei, et al. v. Orbic Air, LLC, et al.

The Korei case is set for trial on January 11, 2027. As such, a Status Conference Re: Stay is set for hearing on February 11, 2027. Should the Korei case resolve prior to trial, the parties are encouraged to

file a stipulation to advance the status conference date.